

General equilibrium



If the price of petrol rises, consumers tend to demand less of it. They may use their cars less and buy bicycles, and as a result, the price of bicycles rises and resources shift towards the manufacture of bicycles as new producers enter the market. In this way different markets are connected, and a shock in one may ripple through the rest.

Often we tend to think of markets in isolation: we talk about the price of cars that brings supply into line with demand: what economists call partial equilibrium. *General* equilibrium theory considers the possibility of equilibrium across the whole economy, taking account of the linkages between markets. One might imagine that completely unfettered free markets would lead to muddle and instability – why would one expect that any kind of order would arise? General equilibrium theory has shown that under certain conditions there are prices that bring about

equilibrium in all markets. However, whether these conditions actually hold in practice is another matter.